

		Defendants also point to language in the Judgment providing that Defendants are entitled to recover their legal fees and costs incurred in this action. The inclusion of this language in the Judgment was not intended to dispense with the requirement that, to be allowable as costs, fees must be authorized by contract, statute or law. (See <i>Code Civ. Proc.</i>, § 1033.5(a)(10).) The motion as to Item 10 is GRANTED. <i>Items 11 and 12: Court Reporter and Interpreter Fees</i> Plaintiff contends Defendants' request for \$6,422.00 in court reporter fees and \$1,831.00 in interpreter fees should be stricken because, at the outset of trial, the parties agreed on the record to split these costs. Plaintiff offers the declaration of counsel, Timothy L. O'Reilly, who declares "During the course of the trial, the parties orally stipulated, which was put on the record before the court, that the parties have agreed to split the costs of the court reporters and the Vietnamese language interpreters used during the trial." (See O'Reilly Decl., lines 11-13.) The Court's own records confirm the stipulation. The Court's September 9, 2024 Minute Order states "On record, counsel place a stipulation to equally share court reporter and interpreter fees." (See ROA 71.) Defendants offer no evidence demonstrating that, despite the foregoing clear language showing a stipulation to equally share these costs, Defendants intended to reserve their right to later seek allowable costs as the prevailing party. The motion as to Items 11 and 12 is GRANTED. (See <i>Anthony v. Li</i> (2020) 47 Cal.App.5th 816, 824-825 [trial court did not abuse its discretion by taxing court reporter fees as items of costs, where the parties agreed to share the court reporter fees equally, without providing for the later recovery of those shared fees by the prevailing party].) This results in a total cost award to Defendants of \$1,814 (\$44,667 less \$42,853.) <i>Counsel for Plaintiff shall give notice of this ruling.</i>
2.	Boren v. Manly, Stewart & Finaldi 25-1524761	Before the Court are six motions filed by defendants Manly, Finaldi and Stewart (MSF) and John Manly (Manly). The two demurrers to plaintiff Taylor Boren's (Boren) complaint are SUSTAINED as to the 2nd and 3rd causes of action, with 14 days leave to amend, and OVERRULED as to the 4th cause of action. The four are motions for an award of monetary sanctions against Boren pursuant to <i>Code of Civil Procedure</i> §§128.5 and 128.7 are DENIED. Demurrers By MSF and Manly as to 2nd and 3rd Causes of Action

The 2nd cause of action asserts a Failure to Pay Wages Due under *Labor Code §§ 201, 202*. The 3rd cause of action seeks recovery of Waiting Time Penalties for Failure to Pay Wages When Due pursuant to *Labor Code § 203*.

Labor Code §201(a) states, in part: "If an employer discharges an employee, the wages earned and unpaid at the time of discharge are due and payable immediately."

Labor Code §202(a) states, in part: "If an employee not having a written contract for a definite period quits his or her employment, his or her wages shall become due and payable not later than 72 hours thereafter, unless the employee has given 72 hours previous notice of his or her intention to quit, in which case the employee is entitled to his or her wages at the time of quitting."

Labor Code §203 states, in part: "If an employer willfully fails to pay, without abatement or reduction, in accordance with Sections 201, 201.3, 201.5, 201.6, 201.8, 201.9, 202, and 205.5, any wages of an employee who is discharged or who quits, the wages of the employee shall continue as a penalty from the due date thereof at the same rate until paid or until an action therefor is commenced; but the wages shall not continue for more than 30 days."

Here, plaintiff asserts that according to his compensation agreement, he was entitled to 1% of all fees received for cases on which he worked. Plaintiff does not allege that as of the date of his termination of employment, the 1% bonus payments of fees that had been collected remained unpaid. Instead, the complaint alleges that at some point after his termination, the attorney's fees on the settlements of cases he worked on were paid and at that point in time, because he had worked on the case during his employment, he was entitled to his 1% share.

The narrow legal issue is whether *Labor Code §§201-203* apply to a commission that does not become earned and payable until after termination. Neither side cites a California case addressing this issue. MSF relies on a plain reading of the statutes. Plaintiff relies on a DLSE interpretation.

As a US District Court recently noted in *Carr v. Walmart, Inc.* (C.D. Cal. 2025) 764 F. Supp. 3d 879, 891–92, "Neither party identified caselaw, and the Court knows of none, addressing the issue of whether delayed payment of an incentive bonus earned after termination amounts to a violation of Labor Code Section 201-203."

Based on the plain language of the statutes, it is apparent they were intended to apply to wages owed at the time of termination. *Section 201(a)* which limits applicability to wages earned as of "the time of discharge." *Section 202(a)* refers to paying wages within 72 hours of "the time of quitting." *Section 203* applies to a willful violation of *sections 201 and 202*. Courts have similarly construed the statute.

For example, in *Smith v. Superior Ct.* (2006) 39 Cal.4th 77, 85, the Supreme Court described section 202 as requiring that "all earned and unpaid wages" are due within 72 hours of quitting. The Supreme Court further stated that "A cause of action for section 203 penalties accrues when an employer fails to pay wages on an employee's final workday, not when the wages are actually, albeit belatedly, paid." (*Pineda v. Bank of Am., N.A.* (2010) 50 Cal.4th 1389, 1398, fn. 7, underlining added)

In the opposition, plaintiff seeks an interpretation of these sections that would render language in the statutes surplusage and without meaning. For example, under plaintiff's interpretation, the phrases "the time of discharge" and "the time of quitting" would be disregarded. "If possible, significance should be given to every word, phrase, sentence and part of an act in pursuance of the legislative purpose." (*Select Base Materials v. Board of Equal.* (1959) 51 Cal.2d 640, 645) "A cardinal rule of construction is that every word in a statute is presumably intended to have some meaning and that a construction making some words surplusage is to be avoided." (*Watkins v. Real Estate Commissioner* (1960) 182 Cal.App.2d 397, 400)

The Court finds that the plaintiff's reliance on the DLSE Enforcement Policies and Interpretations Manual, §4.6, and Opinion Letter 1999.01.09 are not persuasive. "Courts must, in short, independently judge the text of the statute, taking into account and respecting the agency's interpretation of its meaning, of course, whether embodied in a formal rule or less formal representation. Where the meaning and legal effect of a statute is the issue, an agency's interpretation is one among several tools available to the court. (*Yamaha Corp. of Am. v. State Bd. of Equalization* (1998) 19 Cal. 4th 1, 7-8) The Court has considered Section 4.6 as well as the Opinion Letter and finds that the analysis of the plain language of the statutes reflect an intention by the Legislature that these statutes apply to wages that are owed at the time of termination or discharge and not to post-termination commissions which become earned upon the post-termination completion of conditions precedent.

Accordingly the two demurrers are **SUSTAINED** as to the 2nd and 3rd causes of action.

Demurrer by MSF to 4th Cause of Action

MSF demurs to the 4th cause of action for Quantum Meruit on the grounds it is barred by the two year statute of limitations.

"Although the statute of limitations on a cause of action for quantum meruit for personal services usually begins to run when those services or the relationship between the parties terminate (Citation), that is not always the case. Where services are provided with the understanding that payment for those services will be made at some time after the termination of those services or upon some contingency, the statute of limitations does not begin to run until that time arrives or contingency

		occurs.” (<i>Zakk v. Diesel</i> (2019) 33 Cal. App. 5th 431, 455–56) Here, plaintiff has sufficiently pled facts to avoid the statute of limitations. While MSF raises an additional new ground for demurrer in its Reply, the Court declines to consider such. Accordingly, the demurrer to the 4th cause of action is OVERRULED. Four Motions for Monetary Sanctions MSF and Manly have each filed two motions for sanctions against plaintiff pursuant to <i>CCP</i> §§128.5 and §128.7. All four motions are based on defendants’ assertion that the “plaintiff has filed a complaint that alleges legally frivolous cause of action that are clearly time barred and pursued in bad faith.” (See page 1, lines 9-10 of: ROA 84 – MSF §128.5 motion; ROA 88 – <i>MSF §128.7 motion</i>; ROA 129 – Manly §128.5 motion; ROA 139 – Manly §128.7 motion) The Court does not find the assertion of the 2nd – 4th causes of action in the complaint to have been frivolous. Further, plaintiff submits copies of the actual notices which were served by the defendants under the safe harbor provisions of the two statutes. The notices were incomplete because they did not contain the time and date of the hearing. Instead, they were either blank or said “TBD.” (Exh. 1 to Soleymani decl. at ROA 143 and ROA 198) This omission is fatal. (<i>Galleria Plus, Inc. v. Hanmi Bank</i> (2009) 179 Cal. App. 4th 535, 538) Accordingly, the four motions for sanctions are DENIED. Defendants’ objections Nos. 1-25 (ROA 151) and objection nos. 1-30 (ROA 211) to the declaration of Navid Soleymani are OVERRULED. Plaintiff’s requests for monetary sanctions are DENIED. <i>Defendants shall give notice.</i>
3.	Raintree Del Prado LLC v. Sheikhan 24-1394670	Defendants Tawnya C. Sheikhan (“Tawnya” individually); and Tatijana N. Sheikhan’s (“Tatijana” individually; Defendants” together with Tawnya) Motion for Summary Judgment, or in the alternative, Summary Adjudication, is GRANTED in part and DENIED in part. Defendant moves for summary judgment/adjudication as to all three of the causes of action (“COA”) in plaintiff Raintree Del Prado LLC’s (“Plaintiff”) Complaint. (<i>Civ. Proc. Code</i> § 437c(p) and (f).) A) COA No. 1 – Breach of Contract “To state a cause of action for breach of contract, a party must plead the existence of a contract, his or her performance of the contract or excuse for nonperformance, the defendant's breach and resulting damage. [Citation.] If the action is based on alleged breach of a written contract, the terms must be set out verbatim in the body of the